Barrow Quantity Surveyors
Quantity surveying and cost management

Initial Quantity Surveyor Report

41 Kent Street, Ultimo NSW: project budget, construction contract, contingency and programme

Prepared for Quillwood Credit Partners

Version 1.0, initial report

13 March 2026

Reference: BQS-QCP-2026-0313-01

Date: 13 March 2026

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Borrower	Aldgate Property Group Pty Ltd (ABN 81 781 967 121)
Registered address	Level 4, 88 Quay Street, Haymarket NSW 2000
Property	41 Kent Street, Ultimo NSW (freehold, about 1,850 sqm)
Proposed facility	A$84.0M senior secured construction facility, 42 month tenor
Builder	Calloway Construction Pty Ltd (guaranteed maximum price contract)
Borrower's cost consultant	Cardew Hollis Quantity Surveyors Pty Ltd
Prepared by	Barrow Quantity Surveyors
Prepared for	Quillwood Credit Partners
Date and version	13 March 2026, Version 1.0

Report details

1. Executive summary

Quillwood Credit Partners has asked Barrow Quantity Surveyors to review the development budget, construction contract, contingency and programme for the proposed 9-level A-grade office building at 41 Kent Street, Ultimo. This is an initial desktop report based on the information memorandum dated 9 February 2026 and supporting material supplied to us. We have not yet inspected the site or reviewed the executed contract, the tender documents or a detailed programme.

Our preliminary view is that the budget is broadly structured in line with market practice and that the guaranteed maximum price (GMP) of A$84.0M, equal to A$5,250 per sqm of GFA, is a credible basis for lending, subject to the contract review described below. We have three principal concerns.

- Contingency is thin. The owner's contingency of A$2.6M is about 3.1% of the GMP and 1.6% of total development cost (TDC). We would expect a higher figure while design development risk and pre-construction approvals remain open.
- The finance cost allowance looks tight. Our illustrative calculation indicates construction period finance costs of about A$12.3M against an implied allowance of A$10.4M.
- The leasing incentive allowance of A$3.1M, about A$228 per sqm of NLA, appears low against the 62% of NLA still to be leased.

Together, the contingency and finance cost gaps could total about A$3.5M. Any such shortfall would fall to the sponsor as additional equity. We recommend that the credit approval require the sponsor to demonstrate how it would fund this amount, and that the A$24.0M cash equity be injected and verified before first drawdown.

2. Scope, basis and information reviewed

We reviewed the information memorandum dated 9 February 2026, the summary of the Calloway Construction Pty Ltd GMP contract terms, the development budget and cost plan prepared by Cardew Hollis Quantity Surveyors Pty Ltd, and the summary of the development approval granted by the City of Sydney in March 2025. We have been told that the valuation by Brennan Whitlock Valuation Pty Ltd is dated 6 March 2026. We have not relied on it for cost matters.

All figures are stated in Australian dollars. We have assumed they are exclusive of GST, and this needs to be confirmed. The comments in this report are preliminary and may change once we have the full documents and have inspected the site.

3. Project description

The project is a 9-level A-grade office building on a site of about 1,850 sqm, with 16,000 sqm GFA, 13,600 sqm NLA, 42 basement car spaces and end-of-trip facilities. The design targets a 5 Star Green Star Buildings rating and carries a NABERS Energy 5 Star commitment. Those environmental commitments have cost and programme consequences, including commissioning, metering and the need to demonstrate performance after completion. We will confirm that the GMP includes all items needed to achieve them.

The efficiency ratio of NLA to GFA is 85%, which is reasonable for a building of this type. Pre-leasing stands at 38% of NLA, or 5,168 sqm, across two tenants. The assumed net face rent is A$880 per sqm.

4. Development budget

4.1 Summary

Cost item	A$M	% of TDC	A$ per sqm NLA
Land (adopted value)	52.0	32.5	3,824
Construction (Calloway GMP)	84.0	52.5	6,176
Non-construction costs	24.0	15.0	1,765
Total development cost	**160.0**	**100.0**	**11,765**

Development budget summary

The budget adds up correctly. TDC of A$160.0M compares with a gross realisation value (GRV) of A$184.0M, a profit on cost of 15.0%. GRV is consistent with 13,600 sqm of NLA at A$880 per sqm, or about A$11.97M of net income, capitalised at 6.50%. A 50 basis point softening in the capitalisation rate would reduce value by about A$13M. That value impact is a matter for the valuer, and we note it only because it bears on the cushion available to absorb cost increases.

4.2 Land

The land was acquired in June 2023 for A$49.5M and is carried in the budget at A$52.0M. If equity credit for land were limited to the acquisition price, the sponsor's cash requirement would rise by A$2.5M. We understand the acquisition was funded in part from existing group facilities. The lender's solicitors should confirm that all existing security over the site is discharged at or before first drawdown.

4.3 Non-construction costs

Item	A$M	% of allowance
Professional fees and consultants	4.2	17.5
Authority fees and contributions	1.9	7.9
Legal, marketing and leasing fees	1.8	7.5
Leasing incentives	3.1	12.9
Finance costs	10.4	43.3
Owner's contingency	2.6	10.8

Non-construction cost allowance, as presented by the sponsor and subject to verification

The six items total A$24.0M. We will test each against supporting quotes, appointments and the lender's own fee terms in the next report. We have not yet seen a funding model, so the finance cost line cannot be reconciled to a drawdown profile.

5. Construction contract

Calloway Construction Pty Ltd is engaged under a GMP contract of A$84.0M. This equates to A$5,250 per sqm of GFA and A$6,176 per sqm of NLA. At first look the rate appears within a reasonable range for a 9-level A-grade building with basement parking and a 5 Star Green Star target on the Sydney CBD fringe. We will benchmark it against current market data once we have the cost plan elements.

A GMP provides cost certainty only to the extent that the scope is fixed. In our experience the main leakage points are as follows.

- Provisional sums and prime cost items that sit outside the guaranteed amount, and the stage of design at which they will be finalised.
- The definition of the guaranteed scope, including the Green Star and NABERS requirements, and any design development risk that remains with the principal.
- Latent conditions, particularly excavation and groundwater for the basement, and which party bears them.
- Extension of time and delay cost entitlements, liquidated damages rates and caps, and any sectional completion arrangements.
- Security held from the builder, including the form and amount of bank guarantees and retentions, and any parent company guarantee.
- Savings sharing, variation pricing mechanisms and the principal's approval rights over variations.
- Novation or step-in rights for the lender and the form of the consultants' and builder's deeds in favour of the lender.

We have not seen the executed contract. We have also not assessed Calloway's financial capacity, work in hand or insolvency history. Contractor insolvency is a material risk on a project of this size, and we recommend an independent financial review of the builder before credit approval.

6. Contingency

The budget carries an owner's contingency of A$2.6M. A GMP contract is likely to include some builder's contingency within the guaranteed amount, but this is not visible to the principal and is not available to cover principal-side costs. We therefore treat the owner's contingency as the only reserve available for risks outside the GMP.

Measure	A$M	Comment
Owner's contingency in budget	2.6	3.1% of GMP
Contingency at 5% of GMP	4.2	Our preliminary benchmark
Contingency shortfall	1.6	Before design review
Finance cost allowance	10.4	Implied by budget
Indicative construction period finance cost	12.3	Illustrative, see below
Finance cost shortfall	1.9	Indicative only

Preliminary contingency and finance cost sensitivity

The finance cost estimate is our own illustrative calculation. We assumed an all-in rate of 9.5% p.a. (3-month BBSW of 4.25% plus the indicative 5.25% margin), an average drawn balance of about A$42M over 30 months, and equity funded first. On that basis, interest is about A$10.0M, the 1.50% establishment fee is A$1.26M, and the 1.00% line fee on the undrawn commitment is about A$1.05M. The total is about A$12.3M. We have not seen an interest rate hedging strategy, and the information memorandum does not confirm one. The estimate will be superseded once we review the sponsor's model.

We recommend that the lender's cost-to-complete test include the contingency and finance cost gaps above. We also recommend that the leasing incentive allowance be reviewed with the valuer. A$3.1M equates to about A$228 per sqm of NLA, or roughly 26% of one year's net face rent, and 8,432 sqm of NLA remains to be leased. The GRV of A$184.0M also appears to be the capitalised face rent without a deduction for outstanding incentives. That is a matter for Brennan Whitlock Valuation Pty Ltd.

7. Programme

The facility tenor is 42 months, comprising about 30 months of construction and 12 months for completion, leasing and exit. A 30 month construction period for a 9-level building with a basement appears achievable and may carry some float. We have not reviewed a detailed programme, so we cannot yet comment on the critical path, the approvals still required, or the timing of the two pre-lease commencement dates.

Phase	Duration (months)	Cumulative (months)
Construction to practical completion	30	30
Completion, leasing and exit	12	42

Programme against facility tenor, per information memorandum

The two executed agreements for lease cover 5,168 sqm. We need to confirm whether they contain required completion dates, rent abatement or termination rights if practical completion is delayed. A delay would increase interest costs and could also put the pre-leasing at risk. Industrial disputes, latent site conditions and contractor failure are the main delay risks we see at this stage.

8. Funding balance

Source	A$M	% of TDC
Equity: land at adopted value	52.0	32.5
Equity: cash still to be injected	24.0	15.0
Senior construction facility	84.0	52.5
Total sources	**160.0**	**100.0**

Sources of funds, matching total development cost of A$160.0M

Total equity is A$76.0M, and the facility is 45.7% of GRV and 52.5% of cost. After the land, project costs are A$108.0M, of which the facility would fund about 78%. The A$24.0M of cash equity must be spent before the lender advances, and we recommend it be verified by us as part of the first drawdown. Any cost increase beyond the contingency would need further sponsor funding. The sponsor's capacity to provide it should be assessed by the credit team alongside group net debt of A$38.5M.

9. Preliminary findings and recommendations

Matter	Preliminary finding	Action
GMP contract	Not yet reviewed in full	Obtain executed contract
Contingency	3.1% of GMP, low	Increase or sponsor undertaking
Finance costs	Allowance appears tight	Review funding model
Leasing incentives	A$228 per sqm NLA, low	Refer to valuer
Builder strength	Not assessed	Independent financial review
Programme	Not sighted	Obtain detailed programme
Land equity credit	A$2.5M above purchase price	Credit team to decide

Summary of findings and actions

We recommend that the following be completed before credit approval and, where noted, included as conditions precedent.

- Provide the executed Calloway GMP contract, tender documents, final cost plan and detailed programme for our review.

- Confirm that the A$24.0M cash equity is injected and verified before first drawdown, with a sponsor undertaking to fund any cost overrun and any shortfall in contingency or finance costs.
- Obtain the sponsor's funding model, including the interest rate hedging strategy.
- Obtain builder security, insurances, collateral warranties and consultant deeds in favour of the lender.
- Complete an independent financial assessment of Calloway Construction Pty Ltd.
- Appoint Barrow Quantity Surveyors to inspect the site, certify progress claims monthly and report on cost to complete.

10. Limitations

This report has been prepared for Quillwood Credit Partners for the purpose of assessing the proposed facility and may not be relied on by any other party. It is based on documents supplied by the sponsor and its advisers, including Tallis Corporate Advisory Pty Ltd, and has not been audited. It is not a valuation, legal advice or a guarantee of cost or programme. Findings are preliminary and will be updated as further information is received and the site is inspected.

Sign-off

Prepared by	Project Monitoring Quantity Surveyor, Barrow Quantity Surveyors
Reviewed by	Director, Barrow Quantity Surveyors
Date	13 March 2026
Status	Initial report, Version 1.0